

market to increase sales. The company was also “fortunate,” said Fisher, because events outside of management’s immediate control were having a positive impact on the company and its market. The swift development of airborne transportation was rapidly increasing the sales of aluminum. Because of the aviation industry, Alcoa was benefiting far more than management had originally envisioned.

DuPont was a good example of a company that was “fortunate because it was able,” according to Fisher. If DuPont had stayed with its original product, blasting powder, the company would have fared as well as most typical mining companies. But because management capitalized on the knowledge it had gained by manufacturing gunpowder, DuPont was able to launch new products—including nylon, cellophane, and Lucite—that created their own markets, ultimately producing billions of dollars in sales for DuPont.

A company’s research and development efforts, noted Fisher, contribute mightily to the sustainability of its above-average growth in sales. Obviously, he explained, neither DuPont nor Alcoa would have succeeded over the long term without a significant commitment to research and development. Even nontechnical businesses need a dedicated research effort to produce better products and more efficient services.

In addition to research and development, Fisher examined a company’s sales organization. According to him, a company could develop outstanding products and services but, unless they were “expertly merchandised,” the research and development effort would never translate into revenues. It is the responsibility of the sales organization, Fisher explained, to help customers understand the benefits of a company’s products and services. A sales organization, he added, should also monitor its customers’ buying habits and be able to spot changes in customers’ needs. The sales organization, according to Fisher, becomes the invaluable link between the marketplace and the research and development unit.

However, market potential alone is insufficient. Fisher believed that a company, even one capable of producing above-average sales growth, was an inappropriate investment if it was unable to generate a profit for shareholders. “All the sales growth in the world won’t produce the right type of investment vehicle if, over the years, profits do not grow